

AI Strategy

A coherent set of choices about where AI will be applied and what will not be done

GLOSSARY 03 - SHEET 1 / 8

PROFESSIONAL DEFINITION

An AI strategy is a coherent set of integrated choices specifying where in the business artificial intelligence will be applied, what capability will be built or acquired to apply it, how the resulting advantage will be defended, and - definitionally - what the firm will therefore stop doing. A list of intended applications without the corresponding renunciations is a budget, not a strategy, because it makes no choice (Rumelt, 2011; Iansiti and Lakhani, 2020).

WHO DEFINED IT ORIGINALLY

The requirement that strategy consist of choices with foregone alternatives is Porter's (1996), restated as the kernel of diagnosis, guiding policy and coherent action by Richard P. Rumelt (2011) at UCLA Anderson. The AI-specific application is developed by Marco Iansiti and Karim R. Lakhani (2020) at Harvard Business School through the concept of the AI factory and the operating-model constraint on scale.

WHY THIS DEFINITION WAS DEVELOPED

Firms were producing documents titled AI strategy that enumerated use cases without prioritising among them, which guaranteed that scarce data-engineering and change capacity would be spread across a portfolio too wide to complete any element of it. Rumelt's kernel supplies the test: if nothing was given up, no choice was made and no capacity was concentrated.

HOW IT IS USED

State the diagnosis of the competitive problem, the guiding policy for addressing it, and the coherent actions that follow; then list explicitly the initiatives and markets the firm will cease to pursue in order to fund them.

WHEN IT IS USED

At annual strategic planning, when the AI initiative portfolio exceeds delivery capacity, when a competitor's AI-enabled offering changes the basis of competition, and at board approval of multi-year AI investment.

BY WHOM IT IS USED

Chief executives and boards, chief strategy officers, chief data and AI officers translating strategy into capability, and business unit leaders whose plans must be reconciled with the group choice.

FIGURE 1 - THE KERNEL OF AN AI STRATEGY



Figure 1. The fourth block is the test. A document containing the first three and omitting the fourth has allocated no capacity and has therefore made no choice; it will be executed at the rate of the organisation's spare capacity, which is nil (after Rumelt, 2011).

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor artefact was the technology roadmap, which sequenced planned capability without reference to competitive position or to what would be surrendered to fund it. Applying Rumelt's kernel converts a roadmap into a strategy by requiring a diagnosis - a claim about what is actually wrong - and by making renunciation a formal element rather than an implicit consequence. Iansiti and Lakhani's contribution is the constraint: the binding limit on AI advantage is the operating model, not the algorithm.

RELATED DEFINITIONS IN THIS COURSE

[Data Strategy - Unit 3](#)
[Competitive Advantage - Unit 3](#)
[AI Operating Model - Unit 3](#)
[Value Migration - Unit 1](#)
[AI Roadmap - Unit 4](#)

SOURCES (HARVARD REFERENCING STYLE)

Iansiti, M. and Lakhani, K.R. (2020) Competing in the Age of AI: Strategy and Leadership When Algorithms and Networks Run the World. Boston, MA: Harvard Business Review Press.

Porter, M.E. (1996) 'What is strategy?', Harvard Business Review, 74(6), pp. 61-78.

Rumelt, R.P. (2011) Good Strategy / Bad Strategy: The Difference and Why It Matters. New York: Crown Business.